

The Monetary Policy Council (MPC) kept the National Bank of Poland (NBP) reference rate unchanged at 3.75% in October, as expected. While inflation has risen, the increase is largely attributable to higher fuel prices. In our view, the current inflation backdrop allows policymakers to remain on hold for several months

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NBP rates unchanged

As expected, the Monetary Policy Council left National Bank of Poland interest rates unchanged in October. The reference rate remains at 3.75%.

The post-meeting statement remains concise and broadly neutral in tone

In the post-meeting statement, the Council noted that the increase in inflation in September was driven mainly by higher fuel prices,

while core inflation most likely edged down slightly. In our view, this carries a mildly dovish message.

The Council added a new factor to the list of risks to the inflation outlook: “regulatory decisions concerning energy prices”. This may refer both to likely increases in regulated gas and electricity prices for households, which we believe should be lower than implied by 2027 futures contracts. This factor may also refer to government intervention in the fuel market through lowered excise duty and VAT on fuels, which limits the jump in gasoline and diesel prices and brings inflation back towards the upper bound of the target range.

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Czech Republic. In addition, developments in the energy market are likely to translate into significant increases in regulated prices, particularly gas tariffs, from the beginning of 2027. The episode of food-price deflation is also coming to an end. In 2027, food-price increases are likely to exceed their long-term average, reflecting poorer harvests and higher fertiliser costs.

In November, the Council will review the latest macroeconomic projection, which could trigger the beginning of a discussion on the need for tighter monetary policy. Our baseline scenario assumes that the MPC might deliver two 25bp rate hikes in the first quarter of 2027 to reduce the risk of elevated inflation becoming entrenched.

This is particularly relevant given that our forecasts point to some increase in core inflation over the coming months. Nevertheless, we believe that the scale of monetary tightening is likely to be considerably smaller than current market pricing suggests. Markets are currently pricing in around 100bp of rate increases.

NBP rates

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